

BEST IS YET TO COME!

Home First Finance Company (Home First) has reported a strong set of numbers for Q3FY22, supported by stable margin (NIM 5.6% vs 5% YoY/ flat QoQ) and higher AuM growth (26.7% YoY/8.2% QoQ). Asset quality was adversely impacted by the RBI's IRACP clarification, with GNPA's up by 82 bps QoQ to 2.6% and NNPA's up by 76 bps QoQ to 2%. However, the company saw significant improvements in 1+ DPD and 30+ DPD number for Q3 compared to Q2 indicates that it is progressing in the right direction. GNPA prior to such classification for Dec'21 stood at 1.7% (flat QoQ).

- **NII** came in at INR 658 Mn, +9.3% QoQ / +36.4% YoY
- **Net Income** came in at INR 973 Mn, + 5.6% QoQ / 70.2% YoY
- **PPOP** came in at INR 651 Mn, 9.2% QoQ / 128% YoY
- **Provisions** came in at INR 60 Mn, +79.5% QoQ / -19.2% YoY
- **PAT** came in at INR 459 Mn, +2.4% QoQ / +189% YoY
- **EPS** stood at INR 5.25 vs INR 5.13/ INR 1.95 in Q2FY22 / Q3FY21 respectively.

Financial Highlights

- **Strong AUM growth:** Home First's disbursement stood at Rs 5,696 Mn, up by 63.3% YoY and 10.6% QoQ in Q3FY22. AUM up by 26.7% YoY and 8.2% QoQ to Rs 49,940 Mn in Q3FY22, mainly led by home loan segment (25.5% YoY/7.5% QoQ) and LAP segment (31.8% YoY/ 10.5% QoQ). However, developer finance book (weightage 0.52%) declined by 56% to Rs 262 Mn.
- The company continues to focus on housing loans that contribute 91% of AUM and EWS / LIG category that forms ~75% of the customer base. We strongly believe that the company will continue with its strategy of focussing on the affordable housing financing segment and limit the share of non-HL products to < 15% in the near-medium term.
- **Portfolio Quality:** Bounce rates improved in Jan'22 to 15.2% (Q3 FY22 - 15.7%, Q2 FY22 - 16.5%). 1+ DPD improved from 7.6% to 6.5% on QoQ basis. 30+ DPD improved from 5.2% to 4.7% on QoQ basis. Collection efficiency (CE) mostly reached to pre-Covid levels at 99% in Dec-21 vs 98% in Sep-21 and 94% in May-21.
- ECL provision as on Dec'21 is Rs 473 Mn; resulting in total provision to loans outstanding ratio at 1.2% vs 1.3% QoQ; and the Stage 3 provision coverage ratio is at 46.2% vs 77.4% QoQ. Total restructuring was just at 0.76% of AUM as of Sep'21.

Financial Summary

Y/E Mar (Rs Bn)	FY20	FY21	FY22E	FY23E
NII	1609	2035	2576	3361
Net profit	795	1001	1507	2208
Net worth	9334	13805	15312	17521
Adj BVPS	116	153	171	196
EPS (Rs)	10	11	17	25
P/ABV (x)	5.2	3.9	3.5	3.1
P/E (x)	59	52	35	24

Source: Dalal & Broacha Research, Company



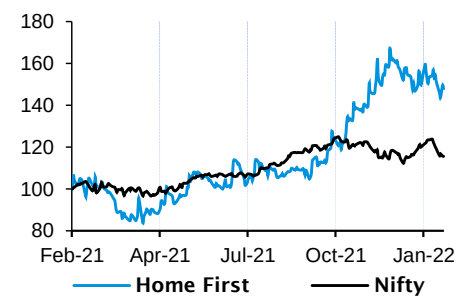
January 30, 2021

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	890	14

Market data

Current price	Rs	781
Market Cap (Rs.Bn)	(Rs Bn)	68
Market Cap (US\$ Mn)	(US\$ Mn)	911
Face Value	Rs	2
52 Weeks High/Low	Rs	920/441
Average Daily Volume	('000)	83
BSE Code		543259
Bloomberg		HOMEFIRS:IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoter	33.6	33.7
FII	12.1	12.7
DII	40.4	40.6
Others	13.9	13.1
Total	100	100

Source: BSE

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- Pursuant to the RBI circular:** The Company has changed its NPA definition to comply with IRACP norms, which resulted in classification of loans amounting to Rs 339.20 Mn as NPAs (Stage 3) as at 31 Dec 2021. However, the said change does not have a material impact on the financial results. Credit Cost for Q3FY22 stood at 0.5% vs 0.3% QoQ/0.8% YoY.
- Operational efficiency:** the company's cost to income ratio stood at 33% (-218 bps QoQ), backed by degrowth in opex by 0.9% QoQ vs net income (NII + other income) growth of 9.3% QoQ in Q3FY22. Furthermore, Opex to assets stood at 2.8%, flat QoQ. Management expects this ratio to remain ~3%-3.2% going ahead as the company focus on expansion and deeper presence in six chosen states.
- Expanding distribution reach:** The company has added 4 new physical branches and commenced its business in 7 new potential branch locations. In addition, 15 new digital branches have been launched taking the total number of touchpoints to 187.
- Digital adoption improved further:** 76% of customers are registered on the company's app as on Dec'21 vs 72% in Sept'21. Payments received via the app have gone up by 114% YoY. 48-hour turn-around-time for loan approval has improved to 90% in Q3 from 88% in Q2FY22.
- Future Guidance:**
 - FY23 and FY24 will be the growth years, where the company will invest in future opportunities. Therefore, the company's cost to asset ratio might go up in the near term, though management is confident of maintaining RoA in a range of 3.5% to 4%. The target for RoE would be around mid-teens in the near term.
 - The company will try to get a deeper presence in six chosen states (Gujarat, Maharashtra, Tamil Nadu, Karnataka, Andhra Pradesh and Telangana) and will double its sales workforce in the next two years.
 - The company's management has already identified 350 towns, where they want to expand their presence by FY24. Out of which, the company has already covered ~180 locations and another 180 locations will be covered in the next two years.

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48-hour turn-around-time for loan approval has improved to 90% in Q3 from 88% in Q2FY22.

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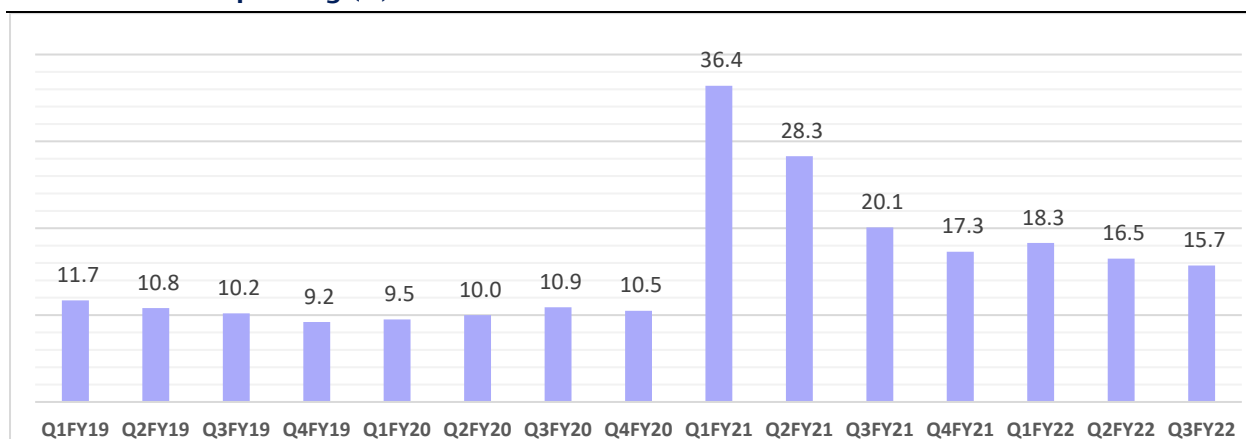
Valuation and outlook

We like Home First because of its Niche positioning, solid profitability and sustainable growth trajectory. Besides, its ability to leverage technology for better service delivery, funding availability with competitive cost of funds and investment by marque private equity players (like True North, Warburg Pincus, Aether Mauritius and Bessemer India) adds to positivity. We believe that it offers an 'early stage' investment opportunity given strong growth momentum, focused strategy and high capitalization. We have already seen similar instances wherein such companies have delivered strong returns, the classic example being GRUH Finance – was trading at >10.7x FY19 P/BV for RoA of ~2.7% levels. Thus, we have assigned a 'Buy on Dips' rating on Home First with a price target of Rs 890, valuing the stock at 4.5x FY23E P/Adj BV.

Financials

Rs Mn	Q3FY22	YoY (%)	QoQ (%)	Q2FY22	Q1FY21
Interest Earned	1202	18.6	5.2	1142	1014
Interest Expended	545	2.4	0.7	541	532
NII	658	36.4	9.3	602	482
Net gain on DA	176	-	2.9	171	-
Other Income	139	56.0	-6.2	148	89
Net Income	973	70.2	5.6	921	571
Operating Expenses	321	12.6	-0.9	324	285
PPOP	651	128	9.2	596	286
Provisions & Contingencies	60	-19.2	79.5	33	74
Profit Before Tax	591	179	5.0	563	212
Tax	132	150	15.5	114	53
PAT	459	189	2.4	449	159
Operational Details					
AUM	49940	26.7	8.2	46170	39406
Disbursements	5696	63.3	10.6	5152	3488
Assigned Assets	9914	44.0	6.8	9285	6883
Loans – Principal Outstanding	40004	23.0	8.5	36859	32520
DA drawn-down	1140.2	-	-10.4	1273	-
Efficiency Ratio					
Cost to Income Ratio (%)	33.0	-1691 bps	-218 bps	35.2	50.0
Debt to equity ratio (%)	2.0	-60 bps	-10 bps	2.1	2.6
Opex / Average assets (%)	2.8	-18 bps	-4 bps	2.8	3.0
CRAR - Tier I Capital (%)	57.8	681 bps	263 bps	55.2	51.02
Asset Quality					
Gross Stage 3 (%)	2.6	99 bps	82 bps	1.7	1.6
Net Stage 3 (%)	2.0	86 bps	76 bps	1.2	1.1
PCR (%)	46.2	-4421 bps	-3121 bps	77.4	90.4
DPD 1+ (%)	6.5	-100 bps	-110 bps	7.6	7.5
DPD 30+ (%)	4.7	64 bps	-47 bps	5.2	4.1
Asset Mix/segment (Retail and corporate)					
Housing Loan (%)	91.5	-88 bps	-54 bps	92.0	92.4
Loans for Commercial Property (%)	0.9	4 bps	2 bps	0.9	0.9
Loans Against Property (%)	7.0	184 bps	67 bps	6.4	5.2
Developer Finance (%)	0.5	-99 bps	-16 bps	0.7	1.5

Bounce Rates Improving (%)



Source: Dalal & Broacha Research, Company

Financial

P&L (Rs Mn)	FY20	FY21	FY22	FY23	Ratios	FY20	FY21	FY22	FY23
Interest income	3547	4237	5058	6517	Growth (%)				
Interest expense	1938	2202	2407	3060	NII	53	26	30	30
NII	1609	2035	2652	3457	PPOP	71	34	46	36
Non-interest income	649	655	1120	1558	PAT	76	26	60	42
Net revenues	2258	2690	3772	5015	Advances	41	10	28	32
Operating expenses	1,020	1,028	1,341	1,719	Spread (%)				
PPOP	1238	1662	2431	3297	Yield on Funds	13.3	12.7	12.6	12.8
Provisions	165	322	293	252	Cost of Funds	8.8	7.9	7.2	7.6
PBT	1073	1340	2138	3045	Spread	4.5	4.8	5.4	5.3
Tax	278	339	539	767	NIM	5.0	4.7	5.0	5.3
PAT	795	1001	1599	2278	Asset quality (%)				
					Gross NPAs	1.0	1.8	1.4	1.2
Balance sheet	FY20	FY21	FY22	FY23	Net NPAs	0.8	1.2	0.9	0.7
Share capital	157	175	175	175	Provisions	26	36	37	39
Reserves & surplus	9178	13631	15230	17507	Return ratios (%)				
Net worth	9334	13805	15405	17682	RoE	10.9	8.7	11.0	13.8
Borrowings	24938	30537	36034	45006	RoA	2.7	2.5	3.3	3.9
Other liability	530	759	903	1148	Per share (Rs)				
Total liabilities	34802	45101	52342	63837	EPS	10.2	11.5	18.3	26.1
					BV	119	158	176	202
Fixed assets	210	167	203	254	ABV	116	153	172	198
Investments	1456	3750	4106	3896	Valuation (x)				
Loans	30139	33265	42604	56259	P/E	76.9	68.2	42.7	30.0
Cash	2221	6799	4352	2299	P/BV	6.6	4.9	4.4	3.9
Other assets	777	1121	1076	1128	P/ABV	6.7	5.1	4.5	3.9
Total assets	34802	45101	52342	63837					

Source: Dalal & Broacha Research, Company

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